

# Professorship of Corporate Law

Prof. Dr. Stefanie Jung, M.A. (CoE)

## **Business Law**

### Contract Law I

Summer Term 2026



## Contract Law I

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### (1) Revision questions lecture

### (2) Declaration of intent (DoI)

Intention to be legally bound

Essentialia negotii

Issuing and reception

### (3) Conclusion of a contract

Offer and acceptance

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## Overview of Cases

| Case | Focus                                                   |
|------|---------------------------------------------------------|
| 1    | Intention to be legally bound                           |
| 2    | Essentialia negotii                                     |
| 3    | Offerta ad incertas personas<br>Invitatio ad offerendum |
| 4    | Interpretation of Dols                                  |
| 5    | Point of contract conclusion<br>Silence and acceptance  |
| 6    | Issuing and reception                                   |
| 7    | Combination of what we learned                          |

## What is a Declaration of Intent (DoI)?

= A declaration of intent is the expression of a person's will which is aimed at bringing about a certain legal consequence.

- **Explicitly**
- **Implicitly**
- **Silence?**

Silence **generally** does not articulate a will

★  
Interpretation!!

**Explicitly:**  
The exact information  
is said/written.



**Implicitly:**  
The information can be taken  
from the circumstances/actions



## What is a Declaration of Intent (DoI)?

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- **Silence?**

Legally anchored exceptions  
will be discussed in another  
session

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## Explain the legally binding effect of a DoI.

- Offer is legally binding (§ 145 Hs. 1 BGB) until:
  - It is refused (§ 146 Alt. 1 BGB)
  - No acceptance is made in good time (§§ 146 Alt. 2, 147 to 149 BGB)→ You cannot just take it back
  
- Exception (§ 145 Hs. 2 BGB)
  - Offeror has excluded being bound by it

**If a person makes an offer and the other side answers by amending this offer, what is the legal situation?**

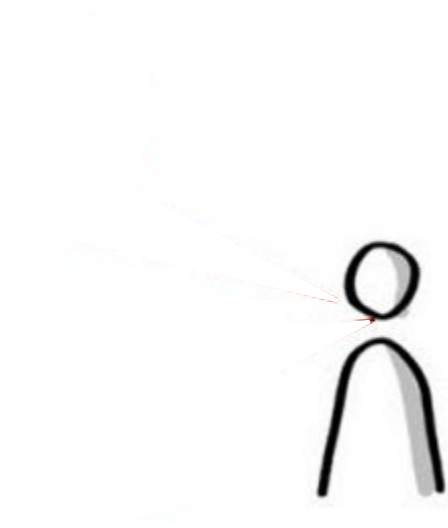
- A contract is a legal transaction consisting of **two matching declarations of intent**, offer and acceptance
- A modified acceptance is considered to be a rejection combined with a new offer (§ 150 II BGB)
- This new offer can be accepted by the other party



# Revision Questions

8

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# Revision Questions

9

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## **Explain the principle of private autonomy.**

- Each party to a contract can freely decide whether and with whom a contract is to be concluded
  - Freedom to conclude or not conclude a contract
  - Freedom to choose a partner
  - Freedom of content
  - Freedom of form
  
- Source: General freedom of action (Article 2 I GG)
  
- Risk
  - You have to watch out to protect your own interest
  - Freedom of action also corresponds with respective responsibilities

Intention to be legally bound

# Case 1 – Facts

12

G has a green thumb and a beautiful garden. In summer G wants to travel to Spain. He asks his neighbour (N) if she can water the garden during the five days of his absence. N agrees, because she wants to help G among neighbors. G and N did not talk about any compensation for N.

Two weeks later, N wins a short trip in the lottery. So she won't be able to water the garden for at least 3 days. G should thus look out for other help. G thinks N has to keep her word.

**Question:** Did G and N conclude a contract?

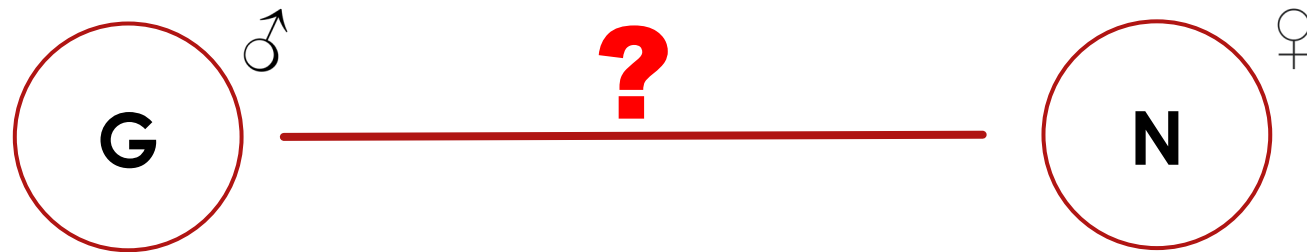
# Case 1 – Facts/Sketch

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**Problem?**

Essentialia negotii

## Case 2 – Facts

15

I is interested in buying a watch out of collector C's collection. With this request I approaches C. The two of them form an “agreement” saying C will sell a blue chronograph to I.

**Question:** Is there a valid contract?



## Case 2 – Facts/Sketch

16

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**Question:** Is there a valid contract?



**Problem?**

Offerta ad incertas personas  
Invitatio ad offerendum

## Case 3 – Facts

18

Painter (P) plans to sell an oil painting. Thus, he advertises it in the local newspaper. The advertisement states a price of 500€. Art lover (A), always looking for extraordinary paintings, reads it and writes P the following letter:

*“Dear P, I hereby buy the painting that was advertised in the newspaper for 500€. - A”*

P writes back that he is very sorry, but he has already sold the painting.

**Question:** Is there a binding contract between P and A?

# Case 3 – Facts/Sketch

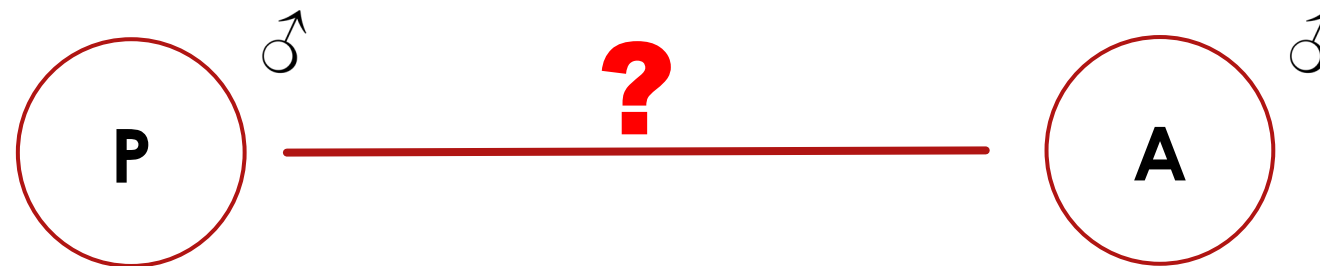
19

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**Question:** Is there a binding contract between P and A?



**Problem?**

## Interpretation of the Declaration of Intent (DoI)

# Case 4 – Facts

21

Customer (C) visits a supermarket, which is operated by S. C notices a yellow sign stating a discounted price of 2€ per bowl of strawberries (instead of 3€ each). She grabs a bowl and proceeds to the checkout. S scans the item and asks C to pay 3€. When C mentions the special offer sign, S replies that this must be a mistake and insists on the payment of the higher price.

However, C disagrees and refers to a formation of contract at a price of 2€.

**Question:** Have they concluded a purchase agreement at a price of 2€ per bowl?

**Problem?**

Identifying the point of contract conclusion  
Effect of silence on the acceptance of an offer

# Case 5 – Facts

23

Costumer (C) visits Fionas's furniture store to buy a sofa. Fiona (F) highly recommends the couch "Relax" and offers C a discounted price of 1,100€. C wants to discuss the issue with his girlfriend (G) and leaves the store.

A few days later, he succeeds in convincing G to go ahead with the purchase. He immediately writes an email to F saying that he would buy the couch on the terms indicated. However, F replies that due to a very recent price increase she can only offer a price of 1,300€. A thinks that this is quite expensive. He writes back that he understands F's position, but the price is just too high. He would be willing to pay 1,200€ instead. C never heard back from F.

**Question:** Did C and F conclude a purchase agreement?  
Presumed they have, when did they do so?

**Problem?**



## Issuing and reception of an DoI

## Case 6 – Facts

25

Emma (E) is a sports car enthusiast and wants to rent a cabriolet. On Monday morning she finds a brochure of the car rental of Carl (C). When E tries to call C, she receives information from the answering machine that the rental is closed.

However E decides to write the following letter to C later that day:

*“I hereby rent a cabriolet from the middle category for next Saturday.”*

The letter is put into C’s postbox by the postman on Tuesday morning. On Wednesday morning, E is informed that she will have to work on that Saturday. E immediately sends an email to C and informs him that, with deep regret, she has to cancel the “reservation” of the cabriolet.

# Case 6 – Facts

26

C hasn't read E's letter yet. After reading E's email, he refers to the "formed contract" and demands the payment of the rent.

## Questions:

- a) Did E and C conclude a valid rental agreement (§ 535 BGB)?
- b) If so, can B claim payment of the rent (§ 535 II BGB)?

**Problem?**

## Combination case – contract conclusion

## Case 7 – Facts

28

A manufacturer of sports equipment (M) meets with a producer of machines (P). M has been a long-time customer of P. On an individual appointment P presents M a newly developed machine.

M believes that the machine would be useful in his production, so he sits down with P and negotiates. Even though they agreed on the price, some aspects still need to be figured out. In particular, P needs to check whether he can secure the supply of spare parts for M in the years to come. In addition, P needs to double check with his staff the delivery time and costs. M leaves saying that “he would get back to P to put the negotiations in writing”.

# Case 7 – Facts

29

The following morning, M sends P an e-mail:

*“I am in principle willing to go ahead with the purchase of three machines. I am happy about our discussions yesterday which we left at the following state:*

- *Price of 21.000€ per machine*
- *Delivery costs (unclear)*
- *Delivery time in about 2-4 months (unclear)*
- *Spare part availability for the machine (not yet secured)*

*If there are any new developments, please come back to me.”*

A week later, P gets back to M stating that he would be able to provide M with free delivery in three months and that he has secured spare part availability. He is thus happy to confirm the order for 21.000€ per machine.

# Case 7 – Facts

30

M is surprised by the late reply. He thinks that he has not placed a binding order with P. Instead, he received a better offer from P's competitor (C), which he accepted in the meantime.

## Question:

Have M and P concluded a contract?

**Problem?**